

FRVO

FRVO N/A

Hold	\$31.93 ▼ 3.13%	12M Price Target \$42.00	52-Week Range \$31.57 – \$42.65	Market Cap \$9.39B
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FRVO: Geothermal Darling Bleeds to 52-Week Lows Despite Nvidia Buzz

WHAT HAPPENED

- FRVO is bleeding — down another 3% to a fresh 52-week low at \$31.93, and it's now sitting at just 3% of its 52-week range (basically scraping the floor). The crazy part: this is happening DESPITE genuinely good news — Nvidia just partnered with them on a geothermal "digital twin" (AI simulation of their power plants), and RBC confirmed their flagship Utah project is on track. When a stock can't rally on good news, that's the market telling you something else is wrong.
- The smoking gun is probably the June 22 earnings miss — Barron's flagged it, and the put/call ratio is 5.68 (meaning traders are buying 5.7x more bearish bets than bullish ones — extremely negative positioning). Volume today was also half of yesterday's, suggesting capitulation selling is fading but no buyers are stepping in yet.

WHY IT MATTERS

Here's what I think is really going on: FRVO is a "story stock" running into the wall every early-stage clean energy name eventually hits — the story is great, but cash burn is real and rates are still high. The Nvidia partnership is legitimate validation (AI data centers desperately need 24/7 clean power, which is geothermal's whole pitch), but the market is now demanding proof of profitability, not just partnerships. The fact that insiders own 22% and institutions only 21% is unusual — it means this is still a founder-controlled story without deep institutional sponsorship, which makes the stock more volatile because there's no big holder defending the price. Watch for a capital raise — at these levels, dilution risk is the elephant in the room.

POLICY & POLITICAL WATCH

The big tailwind here is the Inflation Reduction Act's geothermal tax credits (the 48E clean electricity investment credit), which the current administration has so far left intact even while gutting wind and solar incentives — geothermal has weirdly bipartisan support because it's "firm" baseload power that Republicans like and clean energy that Democrats like. Watch the FY2027 budget reconciliation talks: if Congress carves out geothermal from any IRA rollback (which is the current betting line), FRVO is a direct beneficiary. The other catalyst is the DOE's Enhanced Geothermal Shot program and recent BLM permitting reforms on federal land — FRVO's Utah project sits on exactly this kind of acreage, so faster permitting = faster revenue.

IS IT EXPENSIVE?

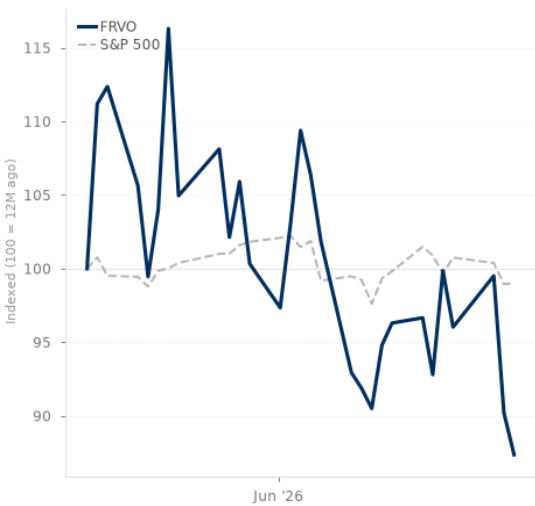
Key Data

Price (USD)	\$31.93
12M Price Target	\$42.00
Upside / (Downside)	+31.5%
Market Cap	\$9.39B
FY2026E Revenue	\$320M
FY2027E Revenue	\$580M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$38.00	\$33.00	\$28.00
6 Months	\$48.00	\$40.00	\$26.00
1 Year	\$60.00	\$42.00	\$22.00
2 Years	\$85.00	\$55.00	\$20.00
5 Years	\$150.00	\$90.00	\$15.00
10 Years	\$300.00	\$160.00	\$10.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+1.26% on the week) — the AI power demand story is real and the market is finally pricing it in. Industrials also catching a bid on infrastructure spending continuity.

COOLING OFF: Materials (-2.48% on 5D) — getting hit by tariff uncertainty and China demand concerns. Consumer Discretionary also weak as consumer data softens.

ROTATION WATCH: Money is rotating from speculative clean energy (FRVO, hydrogen plays) into established utilities with nuclear and gas exposure (VST, CEG, NEE) — investors want the AI power theme but with actual earnings, not promises.

RELATED PLAY: If you believe the AI-needs-power thesis but want less risk, look at Constellation (CEG) or Vistra (VST) — they sell power to hyperscalers TODAY and print cash. FRVO is the higher-risk, higher-reward version of the same trade.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): nuclear + gas fleet selling power to data centers, actual profits, up huge YTD
- CEG (Constellation): Microsoft nuclear deal poster child, riding the same AI-power wave with real earnings

FRVO CONTEXT: FRVO is badly lagging its thematic peers — VST and CEG are near highs while FRVO is at lows. That tells you the market loves the AI-power theme but only wants to pay for it via profitable operators right now. FRVO needs a "show me" moment (Cape Station online, new PPA signed) before it re-rates.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story but the chart is broken and the cash burn is real; not a table-pounder here.

POSITION SIZE: 1-3% — small. The upside is asymmetric (could double in 2 years) but so is the downside (could halve on a bad raise). Size it like a venture bet, not a core holding.

ENTRY POINTS: I'd wait for either (a) a break below \$30 with capitulation volume for a bounce trade, or (b) clear evidence Cape Station is operational. Don't catch the falling knife at \$32.

TIME HORIZON: 18-36 months. The catalyst is project milestones — first 33MW online, then scaling to 400MW, then new hyperscaler deals.

WHEN TO BAIL: Capital raise below \$28, Cape Station delays announced, or any signal the IRA geothermal credits get killed in budget talks.

HEDGING: Pair it with a long position in VST or NEE — if AI-power theme works, you win on both; if FRVO specifically stumbles, your profitable utility cushions the blow.